

Profit Niti – AI Report (2025-04-01 / 2025-12-01)

Last Month KPI Data (December 2025)

 Sales 2,024,000 192% Last month 693,000	 Gross Margin 2,024,000 192% Last month 693,000
 Operating Profit 1,463,544 384% Last month 302,223	 Break Even Sales 560,456 43% Last month 390,777
 Accounts Receivable 2,898,894 6% Last month 2,735,694	 Accounts Payable -1,237,279 -2% Last month -1,214,776
 Working Capital 4,136,173 5% Last month 3,950,470	 Closing Stock 0 0% Last month 0
 Bs Category 66 - STEADY 14% Last month 58 - SHAKY	 Impact Of Decisions -575,767 -110% Last month 5,934,308

Industry Context: Others - Manufacturing - Manufacturing Industries

1. Big Picture — How the Business Looks Right Now

The business has shown significant growth in its financial position, with Total Equity and Liabilities increasing from ₹36.08 L in April to ₹64.76 L in November. Profitability has been volatile, with the Current Year Profit swinging from a loss of ₹1.35 L in April to a profit of ₹14.64 L in November. Sales have also grown substantially, from ₹3.67 L in April to ₹20.24 L in November, indicating strong revenue generation in the latter part of the period.

GREEN FLAG BOX — What's Working Well

- **Strong Profitability Recovery:** Net Profit improved dramatically from -₹1.35 L in April to ₹14.64 L in November, with a high Net Profit % of 72.31 in November.
- **Robust Sales Growth:** Monthly Sales increased over fivefold, from ₹3.67 L in April to ₹20.24 L in November, showing excellent top-line expansion.
- **Healthy Equity Growth:** Total Equity grew consistently, from ₹12.44 L in April to ₹46.69 L in November, strengthening the company's financial base.

RED FLAG BOX — What Needs Attention

- **Severe Profit Volatility:** The business experienced a major loss of ₹6.89 L in August, indicating inconsistent operational control and cost management.
- **High Overhead Costs:** Overheads % spiked to 271.05 in August, consuming all gross profit and leading to significant losses that month.
- **Negative Vendor Balances:** Accounts Payable remained negative throughout the period (e.g., -₹12.37 L in November), which is an unusual liability position that requires investigation.

Strategic Advice:

Prioritise stabilising monthly profitability by analysing and controlling the high employee and administrative expenses that caused the August loss. Investigate the persistent negative accounts payable balance to understand vendor payment terms and potential accounting issues.

2. Profit Power — The Earning Engine

Your sales show significant volatility, starting at ₹3.67 L in April and reaching ₹20.24 L by November. The Net Profit Margin has improved dramatically from -36.92% in April to 72.31% in November, indicating a strong recovery in profitability.

However, monthly profitability is inconsistent. While you achieved high profits in May (₹10.71 L), September (₹11.12 L), and November (₹14.64 L), you also posted losses in April (-₹1.35 L) and August (-₹6.89 L). The primary driver of these losses appears to be high Overheads, which spiked to 271.05% of sales in August due to Employee Benefit Expenses of ₹10.02 L.

Operational data shows high purchase and inventory movement, suggesting a busy manufacturing cycle. The Return on Equity has swung from -130.72% in April to 376.14% in November, reflecting the extreme variability in monthly earnings.

Strategic Advice:

Stabilise monthly profitability by controlling overhead spikes, particularly employee costs. Leverage the high-margin months (like November at 72.31%) to build a cash reserve that cushions against future volatile expense periods.

3. Cash Flow Quality — Profit vs Real Cash

Your net profit for the period shows significant volatility, from a loss of ₹1.35 L in April to a profit of ₹14.64 L in November. However, the cash flow from operating activities has been negative for most months, ending at ₹-1.86 L in November. This indicates that profits are not being fully converted into cash, primarily due to movements in working capital.

There is a major blockage in cash from trade receivables. Debtor days improved from 105 days in April to 44 days in November, but the absolute trade receivables balance grew from ₹12.73 L to ₹28.99 L. This ₹16.26 L increase ties up cash that should be available from sales.

Your cash balance at the end of the period is ₹14.01 L, which is higher than the ₹12.05 L at the start. This increase was supported by cash inflows from financing activities, totaling ₹5.25 L in November, rather than from core operations.

Strategic Advice:

Prioritise aggressive collection of outstanding receivables to unlock the ₹28.99 L tied up with debtors. Strengthen credit control processes to align your improving debtor days with actual cash inflow, reducing reliance on external financing for working capital.

4. Cash Management — Daily Cash Rhythm

Your debtor collection period (Accounts Receivable Days) has improved significantly, from 105.49 days in April to 43.56 days in November. This indicates a much faster collection cycle, freeing up cash for operations.

Your working capital days, which represent your cash conversion cycle, have also improved from 105.49 days to 43.56 days over the same period. This shows a more efficient overall cash rhythm.

However, your cash flow from operations has been volatile. It started at -₹24.07 L in April, improved to ₹12.22 L in June, but was again negative at -₹1.86 L in November. This inconsistency requires attention to ensure stable cash inflows.

Strategic Advice:

Capitalise on the improved debtor days by maintaining strict credit control. Focus on stabilising monthly operating cash flows by aligning your expense cycles more closely with your strong sales months to build a reliable cash buffer.

****Industry Context:**** Others - Manufacturing - Manufacturing Industries

5. Growth Investments — Where Money Is Going

Your investment in fixed assets has remained stable at ₹9.96 L since May 2025. However, there has been a significant increase in other capital investments, turning positive to ₹2.38 L in November from negative figures in prior months.

Return on Capital Employed shows high volatility, from -58.04% in April to a peak of 271.88% in September, ending at 267.70% in November. This indicates periods of very high efficiency in using capital to generate profits.

Asset Turnover improved from 1.57 in April to 3.70 in November, showing better utilisation of your operating assets to generate sales. The proportion of Net Operating Assets to sales decreased from 63.60% to 27.01%, suggesting improved capital efficiency.

Strategic Advice:

The recent positive shift in other capital investment is promising. Given the high Return on Capital figures in recent months, consider strategically increasing investments in productive assets or

technology that can sustain this high return profile. Focus on investments that improve Asset Turnover further, as this is a key strength.

****Industry Context:**** Others - Manufacturing - Manufacturing Industries

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by a mix of owner's equity and external debt. Total Equity has grown from ₹12.44 L in April to ₹46.69 L in November, showing strong internal capital generation. Total Debt has been reduced from ₹18.29 L to ₹11.06 L over the same period.

The Debt to Equity ratio has improved significantly from 1.47 to 0.24, indicating a much healthier and less risky capital structure. The Debt to Capital ratio also improved from 0.60 to 0.19, showing reduced reliance on borrowed funds for operations.

Your Net Debt position has turned negative by November at ₹-2.95 L, meaning you have more cash than debt. This is a strong liquidity position. Operating Cash Flow showed volatility but ended positively at ₹12.78 L in November, supporting growth from internal cash generation.

Strategic Advice:

Your capital structure is now very strong with low debt reliance. Consider using the strong cash position (₹14.01 L in November) for strategic investments or to secure better vendor terms. The negative net debt provides a buffer for any future working capital needs or expansion plans without taking on expensive loans.

7. Balance Sheet Health — Financial Fitness

Your total equity grew strongly from ₹12.44 L in April to ₹46.69 L in November. This was driven by retained profits, with the Current Year Profit reaching ₹14.64 L in November after a loss of ₹1.35 L in April.

Total liabilities decreased from ₹23.64 L in April to ₹18.07 L in November. This was primarily due to a reduction in Secured Long-term Borrowings, which turned negative (₹-4.18 L), indicating a net cash position against those loans.

The Debt to Equity ratio improved significantly from 1.47 in April to a healthy 0.24 in November, showing reduced financial leverage. The Current Ratio remains strong, ending at 7.81 in November, indicating ample short-term liquidity.

Strategic Advice:

Maintain the strong equity base by reinvesting profits. The excellent liquidity position (Current Ratio of 7.81) allows you to explore strategic investments or early debt settlements to further strengthen the balance sheet.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If the high overheads of 271.05% seen in August 2025 were controlled to match the 26.92% of May 2025, the monthly profit could improve from a loss of ₹6.89 L to a profit of ₹10.71 Cr, similar to May's performance.
- **Scenario B - Cash Focus:** If debtor days were reduced from the peak of 159.37 days in June 2025 to the 43.56 days achieved in November 2025, the cash flow from operations could improve from a negative ₹24.07 L in April to a positive ₹12.78 L in November.
- **Scenario C - Balanced:** Combining a 20% reduction in overheads with a 15-day improvement in debtor collection could stabilize monthly profits above ₹10 L and improve the cash flow coverage ratio from negative figures to above 1.0, as seen in November 2025.

9. Operational Insight Engine — Ground-Level Trends

Sales performance shows significant volatility. Monthly turnover ranged from ₹3.67 L in April to ₹20.24 L in November, with a peak of ₹16.98 L in September. The number of invoices issued per month varied, from a low of 724 in October to a high of 1080 in July.

Purchase activity was substantially higher than sales, indicating significant input costs or inventory build-up. Monthly purchases peaked at ₹1.74 Cr in June and were lowest at ₹4.01 L in October. Inventory movement data shows heavy inward and outward flows up to August, with outward movement often exceeding inward.

Operational cash flow from core activities was negative in several months, including April (₹-25.42 L) and August (₹-6.61 L). However, it turned strongly positive by November at ₹12.78 L. The debtor collection cycle (Accounts Receivable Days) improved from 105 days in April to 44 days in November.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Accelerate debtor collections to reduce Receivable Days from 43.56 days. Negotiate better payment terms with vendors to manage payables.	Increase closing cash balance from ₹14.01 L to above ₹20.00 L.	Improve cash flow coverage from 1.82 and strengthen liquidity for operations.
31-60	Profit	Control overheads, which spiked to 271.05% in August. Focus on stabilising employee and administrative expenses.	Maintain Net Profit % above 65%, similar to September (65.49%) and November (72.31%).	Achieve consistent monthly profit, avoiding losses like August's -₹6.89 L, to boost retained earnings.
61-90	Growth	Leverage high Return on Equity of 376.14% from November. Use strong equity base of ₹46.69 L to fund growth without increasing debt.	Sustain sales above ₹20.00 L per month and improve asset turnover from 3.70.	Drive scalable growth while maintaining a healthy debt-to-equity ratio of 0.24.